HOW IT WORKS: BASIC BANKING

Greg is in college with a part-time job. Go, Greg. Greg has decided to take control of his finances and get his bank accounts in order. Before he commits to a bank, he assesses his own financial situation to figure out his needs.

- He works 15 hours per week at school and gets paid $350 every two weeks.
- He has $2,000 saved from cutting lawns and working odd jobs in high school.
- He was gifted $3,000 by his grandparents when he graduated from high school.
- He eats most of his meals at school through his lunch account, but needs to pay for any meals off campus.
- He needs to pay his cell phone bill and purchase any gas he uses for his car.
- His car is on its way out, and he thinks he will need to buy another one in the next few years.

Greg's current banking needs are pretty simple: he should get a checking account for his regular purchases and a high-yield savings account to grow his savings. After comparing options, he decides to open a checking account at the traditional bank down the street. They offer a free student checking account, direct deposit for his work checks, and a simple app, and he can always go into the branch to make cash deposits or ask questions about his account. He also decides to open a free savings account with the same bank to keep $500 in case he overspends on his checking account. Additionally, because he has read this book, he opts out of overdraft protection.